

I don't want an easy business for competitors. I want a business with a moat around it. I want a very valuable castle in the middle and then I want the duke who is in charge of that castle to be very honest and hardworking and able. Then I want a moat around that castle. The moat can be various things: The moat around our auto insurance business, GEICO, is low cost.⁶

—Warren Buffett

The late Rose Blumkin, better known as Mrs. B., founder of the Nebraska Furniture Mart (NFM) is one such duchess. Even today, after so many decades, being the low-cost operator is fundamental to NFM's enduring success and growth. Mrs. B. did not hail from Gujarat, but she's Papa Patel's "twin" sister.

5. BET HEAVILY WHEN THE ODDS ARE OVERWHELMINGLY IN YOUR FAVOR.

There was a chance that Papa Patel's motel could have failed. However, on two serial bets made over five years, the odds that both outcomes go against Papa Patel are slight. Even when he loses both bets, since he did not have much to start with, his losses are pretty minimal. Societal safety nets help him get back on his feet. But when he wins—and the odds are over 99 percent that he wins at least once—he gets over 20 times his money back. It's classic "Heads, I win; tails, I don't lose much!"

Warren Buffett's business partner and vice chairman of Berkshire Hathaway, Charlie Munger, uses horse racing's pari-mutuel betting system as one of his mental models when approaching investing in the stock market. Unlike a casino, in horse racing you are betting against other bettors. The house takes a flat 17 percent of the total amount wagered.